pull up overall performance records of loans recommended by individual bankers easily, and this should be an input into their promotion.

Note that none of this is really futuristic, but it requires a much stronger marriage between information technology and financial engineering, with an important role for practical industry knowledge and incentive design. There are also inputs to making project loans more profitable – such as the availability of Current and Savings Accounts deposits – that will accrue to the banks that build out their IT to access and serve the broader saver cheaply and effectively. Few banks have the in-house talent to do all this now, but preparation is imperative.

An area of more intensive use of IT and analysis is customer loans, which is my second example. It seems today that, having abandoned project loans, every bank is targeting the retail customer. Clearly, the risks in this herding will mount over time, as banks compete for less and less creditworthy customers. But some of this risk can be mitigated if they do sufficient due diligence.

New means of credit evaluation are emerging. For example, some lenders are examining not just credit histories from the credit bureau but mining their own data and also data from social media posts by the applicant to see how reliable they might be. Various forms of crowdfunding, intermediated by peer-to-peer lenders, also claim superior credit evaluation. Of course, much of the hoopla surrounding these new forms of lending has yet to be tested by a serious downturn, and it is unclear how responsibilities for recovery will devolve between intermediary and investor at such times.

Nevertheless, in this Information Age, not only are there more data with which to determine a loan applicant's creditworthiness, it is also possible to track their behaviour for early warning signs of stress.